

the textile manufacturer—which was, of course, Berkshire Hathaway—on December 12, 1962, paying \$7.50 per share for 2,000 shares.³⁹

Cowin was tasked with the role Henry Brandt would fulfill in Buffett's American Express investment, that of scuttlebutt acquisition. He discovered that Berkshire board member Otis Stanton was at odds with his brother Seabury because he had chosen his son, Jack, to succeed him as president.⁴⁰ Otis felt that Jack wasn't up to the job, and, in any case, didn't plan to cede control to him. Otis favored as Seabury's successor another employee of Berkshire Hathaway, Ken Chace, the vice president of manufacturing. Seabury, a graduate of Harvard, had been running Berkshire since 1934. He viewed himself as a hero who had saved the textile mills by pouring millions into modernizing them when others had "hesitated to spend stockholders' money on new equipment when business was so bad and the prospects were so uncertain."⁴¹ Nicholas Brady, another graduate of Harvard's business school, and nephew to Berkshire's chairman Malcolm Chase—no relation to Ken—had written his thesis on Berkshire, and was so discouraged by the results of his research that he sold his shares.⁴² Malcolm may have taken heed of his nephew's paper because he refused to go along with Seabury's modernization plans. Seabury's sense of his own destiny as savior of the textile mills won out, however, and he continued investing millions in the relentless modernization.⁴³ It didn't work, and, as the realities of the textile business's poor economics overwhelmed Seabury's limited managerial capabilities, he started drinking heavily, which Cowin duly reported to Buffett. Still, Seabury was sufficiently in command of his faculties to apprehend Buffett as an imminent takeover threat.

Seabury responded to Buffett's accumulating position in Berkshire by making several tender offers for the stock, one of the potential exits Buffett had considered before he starting buying. When Seabury's latest tender offer had pushed the Berkshire stock price to between \$9 and \$10 per share, Buffett decided to journey to New Bedford to meet Seabury, and discuss his plans for the next tender offer. Buffett later reported to his biographer, Alice Schroeder, that Stanton asked, "We'll probably have a tender one of these days, and what price would you sell at, Mr. Buffett?"⁴⁴

I'd sell at \$11.50 a share on a tender offer, if you had one.

Well, will you promise me that if we have a tender offer you'll tender?

If it's in the reasonably near future, but not if it's in 20 years from now. Fine.

Shortly after the meeting, Berkshire Hathaway sent a letter to Buffett and the other shareholders offering \$11 3/8 per share to anyone who